FitLoop

Is Our Growth Healthy, and Where Should the Next Euro Go?

Board Report · Data period: January 2025 – June 2026

1. The short version

FitLoop is a fitness app with a free version and a paid subscription (€9.99 a month or €59.99 a year). The dashboard shows signups growing nicely. The CEO wants to double the marketing budget. The board asked two questions: is this growth healthy, and where should the next euro go?

Our answer in one paragraph:

FitLoop is growing, but mostly by buying users, and a lot of that money goes to the channels that give back the least. Only about 1 in 3 new users does enough in their first week to have a real chance of paying. The channel that brings the most customers (Google Ads) gets the smallest share of the budget, while Meta and TikTok, which give back far less per euro, get most of it. Most people who pay stop within a year. The next euro should go to Google Ads, to helping new users get through their first week, and to testing a referral reward. Doubling the budget on the current mix is not the right move.

The rest of this report explains how we got there, in plain language, with the numbers behind each step.

2. How we did it (and why you can trust the numbers)

We started from the two raw files the company gave us — one with every user (70,237 real users after cleaning) and one with monthly ad spend. The raw files contained duplicates, test accounts, the same channel written several different ways (for example tiktok and TikTok Ads), a few impossible dates, and one missing month of spending. We cleaned all of this first and wrote down every rule and how many rows it affected (the full cleaning log is in the appendix at the end). If we had skipped this step, every number below (what a customer costs, how long they stay, what they are worth) would have been wrong.

We then answered the five questions the brief asks, in order:

1. Where does value leak in the funnel?
2. Which channels and user groups behave differently — and is that difference real?
3. What does a customer cost, and what do they bring back?
4. What changed over the 18 months, and what did each change cause?

5. Which single number should the whole company watch?

At the end we built a growth model that simulates the next quarter under four different plans, we tested the model against what really happened (a backtest), and we turned the results into a recommendation and an A/B test plan.

3. Question 1 — Where does value leak?

The funnel, step by step

Imagine 100 people who download and sign up for FitLoop. Here is what happens to them (measured on users who signed up at least two weeks before the end of the data, so they had time to pay):

Step	Out of 100 signups
Signed up	100
Did 3 workouts in their first 7 days (activated)	35
Started the free trial	28
Paid	10
Still paying at 30 June 2026	6

The biggest drop by far is the very first step. About two thirds of everyone who signs up never really use the app in their first week. The steps after that are comparatively efficient: about 1 in 3 people who start a free trial go on to pay (37%).

Why the first week is the whole game

We compared users who did their 3 workouts in the first week with those who did not:

	Share who start a trial	Share who end up paying
Did 3 workouts (activated)	60%	26%
Did not activate	10%	1.6%

An activated user is about 17 times more likely to pay. Almost 9 out of 10 paying users are people who activated in their first week. This is the single clearest finding in the whole analysis: getting people to their third workout is what turns a download into a customer.

The growth loop (word of mouth)

There is a second, smaller engine: users who invite friends (Referral channel). These referral users are the best users FitLoop has — they activate the most, pay the most often, stay the longest, and bring the most money, and they cost nothing in ads. As the number of paying subscribers grew, referral signups grew too (from about 95 to about 270 a month).

But the loop is getting weaker. At the start, 100 paying subscribers brought about 17 referrals a month; by mid-2026 they bring only about 6. There is no referral reward in place today, which is a missed opportunity.

Takeaway: The value leak is not at the payment step. It is at the front door. FitLoop should spend more effort helping new users reach their third workout, and should test a referral reward.

4. Question 2 — Who behaves differently? (and is it real?)

Channels

The same funnel, split by where users come from. Out of 100 signups from each channel, how many end up paying:

Channel	Share of signups	Share of activated users	Share of payers
Referral	4.1%	7%	8.6%
Organic	14.4%	20.2%	21.8%
Google Ads	13.9%	17.3%	18.9%
Meta Ads	27.4%	29.4%	30.1%
Influencers	11.3%	8.8%	7.8%
TikTok Ads	29%	17.4%	12.8%

Share of the whole company (how much of the pie each channel represents): TikTok brings 29% of all signups but only 12.8% of all paying users. Referral brings just 4.1% of signups but 8.6% of payers. In other words, TikTok looks big at the top of the funnel and small at the bottom; Referral looks small at the top and punches above its weight at the bottom.

Is the difference real, or an illusion?

This is where careful analysis matters. A channel can look bad for the wrong reason — for example, if it brings a different kind of phone user. So we compared like with like:

- iPhone vs Android, inside each channel: the payment rate is almost identical (e.g. TikTok 4.7% on Android vs 4.1% on iOS). Phone type does not matter.

- Before vs after October 2025: every channel got better, but the order did not change. Referral stays best, TikTok stays worst.
- Countries (France, Belgium, Switzerland, Luxembourg): all behave the same, about 10% of signups pay.

The only trap was phone type overall: iPhone users appear to pay more (11.4% vs 9.1%), but that is only because TikTok brings mostly Android users. Once you compare inside a channel, the gap disappears.

Takeaway: The channel differences are real and they survive every fair comparison. Where users come from matters far more than their phone or their country.

5. Question 3 — What does a customer cost, and what do they bring?

Two simple ideas underlie this section:

- CAC (Customer Acquisition Cost): how much ad money it takes to get one paying customer.
- LTV (Lifetime Value): how much money that paying customer brings in, in total, before they stop paying.
- LTV/CAC: for every €1 spent on ads, how many euros come back. Above €1 means the channel makes its money back.

Paid channel	One paying customer costs (CAC)	Brings in total (LTV)	€1 spent brings back	Paid back in
Google Ads	€38	€118	€3.10	4 months
Meta Ads	€53	€101	€1.90	6 months
Influencers	€50	€90	€1.80	6 months
TikTok Ads	€53	€75	€1.40	6 months

Three things stand out:

- Google Ads is clearly the best channel — about €3 back per €1 spent — and it keeps getting cheaper over time.
- TikTok has the cheapest signups (€2.40) but the most expensive customers (€53). Cheap signups are a trap: few of them pay, and the ones who do leave fast.
- Meta gets almost half the entire ad budget (€105,700 of €229,760) but returns much less than Google, and each new Meta customer is getting more expensive as spending grows.

How long do people stay?

People don't all stay the same amount of time, and this changes everything about what a customer is worth.

- On the monthly plan, about 10% of subscribers cancel every month. On average that means a monthly subscriber stays about 10 months.
- It depends heavily on the channel: Referral subscribers stay about 14 months, TikTok subscribers only about 6.
- About half (54%) of yearly subscribers renew for a second year, so a yearly subscriber stays roughly two years — much longer than a monthly one.
- Only about 3 in 10 monthly subscribers are still paying after one year, in every group of users we looked at.

Takeaway: Not all customers are equal. A Referral customer is worth almost twice a TikTok customer, partly because they pay more often and partly because they stay twice as long. And keeping subscribers is as important as getting them — the first few months after payment are when most people leave.

6. Question 4 — What changed over the 18 months?

We looked at what changed and what followed from it:

- June 2025 — TikTok Ads launches. It brings lots of new signups, but few of them do their first workouts. So the average activation rate falls from about 35% to 26%, even though nothing else got worse.
- March 2025, September 2025, February 2026 — Influencer campaigns. Each brings about 2,500 signups for €9,000, but very few of these users pay.
- 1 October 2025 — activation jumps overnight, in every channel, at once. From 30 September to 1 October, the share of new users who activate goes from about 25% to 35–45%, and it stays there. Importantly, activated users still pay at the same rate as before — so FitLoop didn't get better users, it just got more of them to their third workout. As a direct result, the share of signups who pay rises from about 8.6% to 11.4%.
- From September 2025 — much more money spent on Meta Ads. Monthly spend almost triples (from about €3,750 to €10,550), but each new Meta customer now costs about 40% more than before. More money did not make Meta more efficient.

What did not change: the share of free trials that become paid stays between 32% and 43% for all 18 months. This step never improved — it is the next thing to work on.

Takeaway: Something happened on 1 October 2025 that worked very well in every channel. The data doesn't say what it was, so FitLoop should find out from its own team and build on it. Meanwhile, the trial-to-paid step has been stuck for a year and a half.

7. Question 5 — Which single number should we watch?

We tested four possible North Star Metrics — the one number the whole company watches. A good one should (a) move together with paying users, (b) be known early, and (c) not be easy to fake by buying cheap users.

Candidate	Moves with paying users?	Known when?	Can be faked?
Signups	Only loosely	Day 0	Yes — cheap TikTok users
Activated users (3 workouts / 7 days)	Almost perfectly (0.997)	Day 7	No
Trials	Very closely (0.991)	~Day 7–13	Somewhat
Paying users	—	Weeks later	No, but too late to act on

Our North Star Metric is the number of new users each month who do 3 workouts in their first 7 days.

Why:

- It follows paying users almost exactly (a near-perfect correlation of 0.997). Signups don't: September 2025 had almost twice the signups of October 2025 but only a few more payers.
- It is known after just 7 days, so the company can react long before money arrives.
- It can't be faked by buying cheap users: TikTok brings 29% of signups but only 17% of activated users.
- It can be moved by the whole company: marketing picks better channels, product improves onboarding, and the 1 October change raised it in every channel.

Because the metric doesn't show how long people stay paying, FitLoop should watch it together with the monthly churn rate (the share of subscribers who cancel each month).

8. The growth model: what happens if we do X instead of Y?

We built a model that reproduces FitLoop month by month: ad spend → signups → activation → trial → paying → cancellations → revenue. To make sure it can be trusted, we first calibrated it

only on the first year of data (2025) and then let it predict the months it had never seen (January–June 2026):

What we predicted	Average error in 2026
Signups	4.5%
Subscribers	6.2%
Revenue	8.0%
New paying users	13.1%

The model is slightly pessimistic (it underpredicts a little), which is safe when comparing plans. It is accurate enough to compare scenarios — we care about the difference between options, not the exact number.

The four plans for next quarter (July–September 2026)

- Baseline: keep spending the same as the last three months.
- S1 — the CEO's plan: double every channel.
- S2 — TikTok to Google: same total budget, move TikTok's money to Google.
- S3 — better activation: same budget, but get 4 more points of activation (this is the smallest effect a 4-week A/B test can detect).

Results

	Baseline	S1 Double budget	S2 TikTok→Google	S3 Activation +4pp
Extra spend	—	+€50,000	€0	€0
Extra paying users	—	+785	+76	+134
Extra revenue in the quarter	—	+€22,560	+€2,586	+€3,810
LTV per €1 spent	—	€1.59	free	free
LTV/CAC ratio	2.2	1.9	2.6	2.4

Reading the table:

- S1 (double the budget) does bring the most paying users (785), but the extra €50,000 costs about €64 per extra customer, against a normal cost of about €46. Most of the extra money goes to Meta, where each euro brings fewer and fewer signups. Even with the most

optimistic version of our spend curves, each extra euro brings back only €1.89 — still well below what Google gives today (€3.43 for the next euro).

- S2 and S3 cost nothing extra and both improve the LTV/CAC ratio. S3 brings more new payers than S2 in this quarter because it lifts every channel at once.
- Doing S2 and S3 together gives about +200 paying users and +€32,900 of lifetime value in one quarter with no extra ad spend, and lifts LTV/CAC from 2.2 to 2.75.

One honest caveat: S1 would push Meta to about €20,000/month and S2 would push Google to about €6,700/month — both above any spend level we have actually observed. Those results come from extending the spending curves, so they carry more uncertainty. And S3 does not include the cost of building the onboarding change.

9. Recommendation: where should the next euro go?

1. Do not double the budget on the current mix.

Doubling sends half the extra money to Meta, the channel with the weakest return. Each extra euro there brings back about €1.59 over the customers' lifetime — and even with optimistic assumptions, not much more.

2. Move TikTok's budget to Google.

Same total money, but it buys paying users who pay more often and stay longer. LTV/CAC rises to 2.6.

3. If the board wants to spend more, add it to Google — in steps.

We have never seen Google spend above €4,280/month, so each increase should be checked against its actual cost per customer before the next step. Do not add to Meta until its cost per customer stops rising.

4. Improve activation.

The first-week step is the biggest leak in the whole funnel, and the 1 October 2025 change proved it can be moved. Every channel benefits.

10. The A/B test plan

Two ideas are worth testing before committing budget:

Test A — Onboarding change to lift activation

- Goal: increase the share of new users who do 3 workouts in their first 7 days.
- Design: split new signups 50/50 into a current onboarding (control) and a new version (test), for 4 weeks.

- Why 4 weeks: with our current traffic (~1,217 signups per week), a 4-week test can reliably detect a lift of +3.9 percentage points of activation (baseline 40%, 5% significance, 80% power). Shorter tests would need a bigger effect to be trustworthy.
- How we'd read it: measure activation rate in both groups at the end, and — importantly — check that the extra activated users still convert to paid at the usual rate (~26%). The 1 October change showed that when activation rises, paying rises with it.

Test B — Referral reward

- Goal: strengthen the referral loop, which is getting weaker each month.
- Design: give half of active subscribers a reward for a successful invite, and the other half nothing, for 6–8 weeks.
- How we'd read it: new referral signups per 100 active subscribers (today about 6 a month). The winning version should be kept only if the net value of the extra referrals beats the cost of the reward.

11. Limits of what we can say

- The data does not record what changed on 1 October 2025. The finding that it lifted activation in every channel is solid, but the cause needs to be confirmed with the FitLoop team.
- August 2025 has no Meta ad spend in the file, even though 827 people signed up through Meta that month. We did not invent a number: we excluded those 827 users from the cost calculations (they stay in the conversion and retention analysis). If we had treated the missing spend as zero, Meta would have looked cheaper than it really is.
- The referral loop is measured from two numbers that both grow over time (subscribers and referrals), so we can show they move together but cannot fully prove that subscribers cause referrals. This is why we recommend an A/B test rather than banking on it.
- The model assumes the rates we measured stay the same as the company grows. That is a reasonable simplification for comparing plans, but real life will drift.

12. Cleaning log (appendix)

Every rule we applied to the raw data, and how many rows it affected:

Step	What we found	Rows affected
Labels	tiktok / TikTok Ads, meta_ads / Facebook Ads / Meta Ads, google_ads / Google Ads were separate. Merged into 3 channels.	0 removed (renamed only); Meta and TikTok grew by about 3,000–3,600 rows each

Duplicates	Exact duplicate user rows	562 removed (70,851 → 70,289)
Test accounts	45 QA accounts (QA_ IDs, channel internal) that paid on the same day as signup	45 removed (70,289 → 70,244)
Impossible dates	7 users with signup in 1900, 1970 or 2099	7 removed (70,244 → 70,237)
Missing spend	Meta Ads, August 2025 (grid rebuild showed 1 missing row; file had 71 of 72 rows)	Kept as missing; 827 Meta users flagged in_cac = False
Missing country	1,494 users without country	Kept, labelled Unknown

Final data: 70,237 users, 72 spend rows (one with a missing value). Every remaining empty date is normal (no trial, never paid, or still subscribed at extraction) — we checked that no paying user lacks a trial, no plan exists without payment, and every paying user pays exactly 7 days after their trial start, as the brief describes.

13. One-page summary for the board

Question	Answer
Is growth healthy?	Partly. Signups grow 1.7×, but ~8 in 10 users are paid for, and the biggest channels (TikTok, Meta) return the least per euro.
Biggest leak	The first week: only 35% of signups do 3 workouts. Activated users are 17× more likely to pay.
Best channel	Google Ads — €3.10 back per €1, paid back in 4 months.
Weakest channel	TikTok Ads — cheap signups (€2.40) but €53 per paying customer and only €1.40 back per €1; these users also leave fastest (about 6 months).
What changed?	1 Oct 2025 lifted activation in every channel (25% → 40%); TikTok's launch in June 2025 dragged the average down; more Meta spend made each Meta customer more expensive.
What to watch	New users who do 3 workouts in their first 7 days, together with the monthly churn rate (~10%).
Next euro	Google Ads (in steps), activation improvements, and an A/B-tested referral reward. Do not double the current mix.